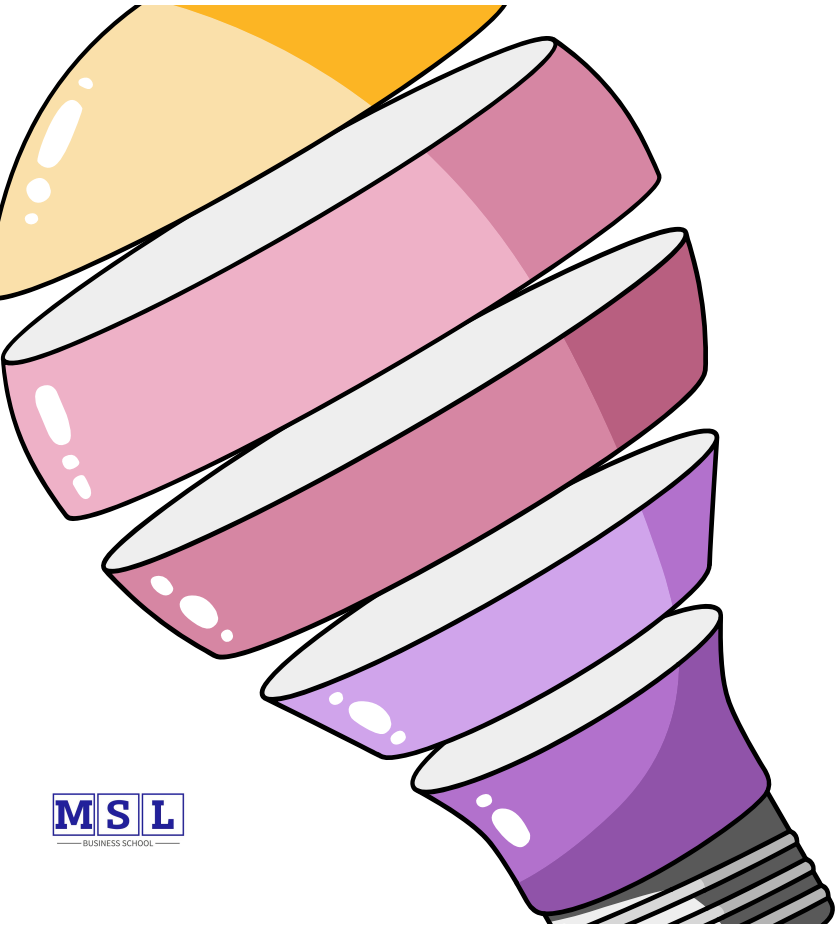

Social Security & Pension Funds

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The 3-Tier Pension Scheme

Tier 1 *First Tier* *NPA, 2008 (Act 766)* *BNSSS Regulations, 2011* *(L.I. 1989)*	- the Basic National Social Security Scheme for all workers in Ghana - it is a **defined benefit scheme** and **mandatory** for workers to have contributions made on their behalf - the contribution is managed by the Social Security and National Insurance Trust (SSNIT)
Tier 2 & Tier 3	**Tier 2** - a **defined** contributory Occupational Pension Scheme - **mandatory** for workers with contribution made on behalf of members - the contribution is **managed privately** by approved Trustees **Tier 3** - includes all Provident Funds and all other Pension Funds outside Tiers I and II - it is a **voluntary** scheme - fully funded and **privately managed** provident and personal pension scheme
Coverage & Exemptions	**Coverage** - All employees in the formal sector, including but not limited to an establishment where an employer-employee relationship exists - Workers who fall under the informal sector or the self-employed - Employees **50 years** of age and below as at **1 January 2010** - Optional for employees 50 years of age and above as at 1 January 2010 - **Exemption** - Officers and men of the Ghana Armed Forces and any other person who is expressly exempted by law

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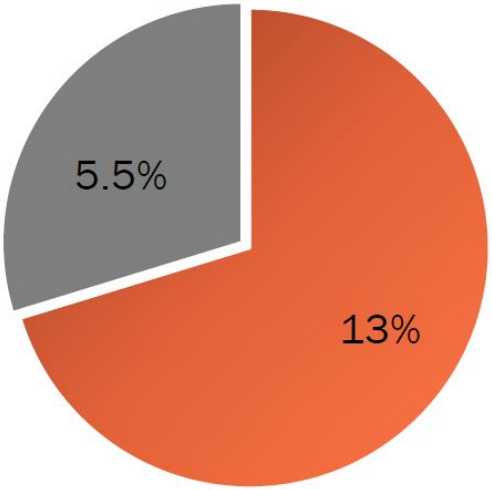
Contribution Splits - Employer + Employee

- The employer deducts **5.5%** from the worker's **basic salary**
- and adds **13%** of the worker's basic salary (matching contribution)

A total of **18.5%** of the worker's basic salary is paid as social security contributions for the worker



Employee (5.5%) + Employer (13%) = 18.5%

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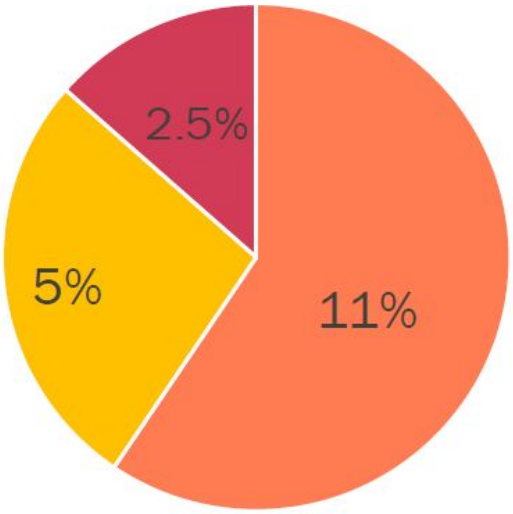
Distribution of Contributions

Out of the 18.5% total contribution

- **13.5%** is paid to SSNIT
- **5%** is paid to a private Fund manager of employer's choice (2nd Tier)

Out of the 13.5% paid to SSNIT

- SSNIT pays **2.5%** to the NHIA
- The remaining **11%** is managed by SSNIT to pay monthly pension



SSNIT (11%) + 2nd Tier Fund Managers (5%) + NHIA (2.5%) = 18.5%

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Defined Benefit Scheme vs Defined Contribution Scheme

A **defined contribution plan** is one where the value of the retirement benefits paid out (i.e. pensions) depends on the value of the plan, which is itself dependent on the value of contributions made. The party who makes contributions and receives benefits bears the risk here, since if the value of the plan falls then so do the benefits paid out.

In a **defined benefit plan**, by contrast, the value of retirement benefits paid out is defined in advance, and is not affected by the value of the plan. The risk here is with the plan operator because if the plan does not have sufficient funds to pay out the defined benefits then these must be made up.

Ghana's Tier 2 and Tier 3 Pension Tiers can be said to be examples of Defined Contribution Plans, whereas the Tier 1 (SSNIT) can be said to have the features of a Defined Benefit Plan

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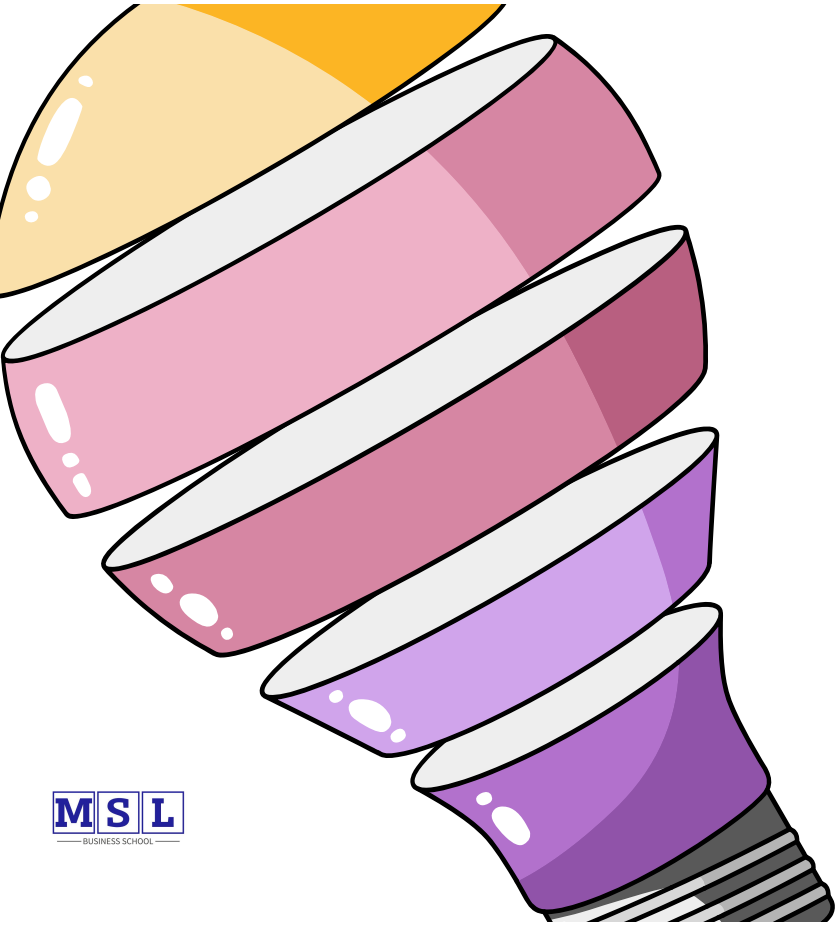

The First Tier

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FIRST TIER - BASIC NATIONAL SOCIAL SECURITY SCHEME

- **Mandatory** for all employees in both the public and private sectors of the economy, (but optional for the self-employed) and administered by the *Social Security & National Insurance Trust (SSNIT)*
- The Governing Board of SSNIT is a Board of Trustees with a balanced representation of Employers, Employees and Government
- Minimum age for membership is **15 years**, and the maximum age is **45 years** for new entrants
- The *minimum* contribution salary is based on the *National Daily Minimum Wage*, and a *maximum* salary (currently fixed at *GHS 52,000* per month) to check abuse.

Reference & Further Reading

Act 766 as amended by Act 883

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FIRST TIER - BENEFITS

- Superannuation Pension
- Invalidity Pension
- Emigration Lump Sum
- Survivors Lump Sum

Reference & Further Reading

Act 766 as amended by Act 883

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SUPERANNUATION PENSION & QUALIFYING CONDITIONS

This is paid to a member who has met the minimum requirement of **180 months (15 years)** contributions in aggregate.

AND

- They are **60 years** of age (Full Pension)

OR

- They are **55 years** and above (Reduced Pension)

Reference & Further Reading

Act 766 as amended by Act 883

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SUPERANNUATION PENSION & QUALIFYING CONDITIONS

The amount of money earned as Pension at the end of every month is based on three key parameters;

- Age at Retirement (*Early Retirement Reduction Factor*)
- Earning/Salary on which contributions were paid (*Average of Three Best Years' Annual Salaries*)
- Total number of months contributions made (*Pension Right*)

<u>Calculation</u>

Annual Pension = (*Average of 3 Best Years' Annual Salaries*) **x** (*Pension Right*) **x** (*Early Retirement Reduction Factor*)

Monthly Pension = Annual Pension / 12

Reference & Further Reading

Act 766 as amended by Act 883

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SUPERANNUATION PENSION & QUALIFYING CONDITIONS

Pension Right

Under Act 766, you begin to earn a credit only if you pay social security contributions for a minimum period of **180 months** in total (irrespective of whether there are breaks in your employment or not).

You earn a "pension right" of **37.5%** (0.375) if you pay social security contributions for a minimum period of **180 months** in total.

Every additional month of social security contribution payment over the minimum period of 180 months attracts an additional percentage of **0.09375%** (0.0009375)

You can earn a pension right up to a maximum value of **60%** or 0.60 (which is equivalent to 420 months of social security contribution payments in total).

Formula - Pension Right

PENSION RIGHT=0.375 + [Total number of months of contributions - 180] x 0.0009375

Reference & Further Reading

Act 766 as amended by Act 883

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SUPERANNUATION PENSION & QUALIFYING CONDITIONS

Early Retirement Reduction Factor

Early Retirement Reduction Factor Table

Years	Age	Additional Months 0	1	2	3	4	5	6	7	8	9	10	11
	55	0.600	0.6063	0.6125	0.6188	0.6250	0.6313	0.6375	0.6438	0.6500	0.6563	0.6625	0.6688
	56	0.6750	0.6813	0.6875	0.6938	0.7000	0.7063	0.7125	0.7188	0.7250	0.7313	0.7375	0.74375
	57	0.7500	0.7562	0.7625	0.7687	0.7750	0.7812	0.7875	0.7937	0.8000	0.8062	0.8125	0.81875
	58	0.8250	0.8312	0.8375	0.8437	0.8500	0.8562	0.8625	0.8687	0.8750	0.8812	0.8875	0.89375
	59	0.9000	0.9083	0.9167	0.9250	0.9333	0.9417	0.9500	0.9583	0.9667	0.9750	0.9833	0.9917
	60 and above	1.0000											

Note: If you plan or decide to retire at age 60 years (or later) your Monthly pension would not be subjected to an ***Early Retirement Reduction*** and your ***Early Retirement Reduction Factor*** would therefore be given a value of **1.000** (one).

Reference & Further Reading

Act 766 as amended by Act 883

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INVALIDITY PENSION & QUALIFYING CONDITIONS

This is paid to a member who is totally *incapable of earning a living* through working due to **permanent physical or mental disability**

- They must have contributed for a *minimum* of **12 months** within the last 36 months before the occurrence of the invalidity
- They must be certified by a Medical Board as being incapable of any normal gainful employment

Reference & Further Reading

Act 766 as amended by Act 883

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EMIGRATION LUMP SUM & QUALIFYING CONDITIONS

This is paid as a Lump Sum to **Non-Ghanaian members** who are leaving Ghana permanently

- They must submit documents to prove that they are leaving Ghana for good

Reference & Further Reading

Act 766 as amended by Act 883

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SURVIVORS' LUMP SUM & QUALIFYING CONDITIONS

This is paid as a Lump Sum to nominated dependant(s) of a member upon his/her death while in service or on pension.

- No benefit is paid to nominees when a pensioner dies after **age 75**

Reference & Further Reading

Act 766 as amended by Act 883

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SSNIT COMPLIANCE REQUIREMENTS

The employer shall accompany each contribution payment with a list of the workers indicating their social security numbers and the amount each worker is contributing – called the **Contribution Report**.

Contribution reports must be submitted **by the end of the month** (last working day) whether contributions are remitted to the Trust or not.

Payment of contributions to SSNIT should be done not later than the **14th day** of the ensuing month as late payment will attract penalty.

Penalty of **3% per month** shall be imposed on unpaid contribution.

Additional penalty of **3% per month** on the contributions plus penalty may be imposed if after written demand notice the employer fails to pay.

Reference & Further Reading

Act 766 as amended by Act 883

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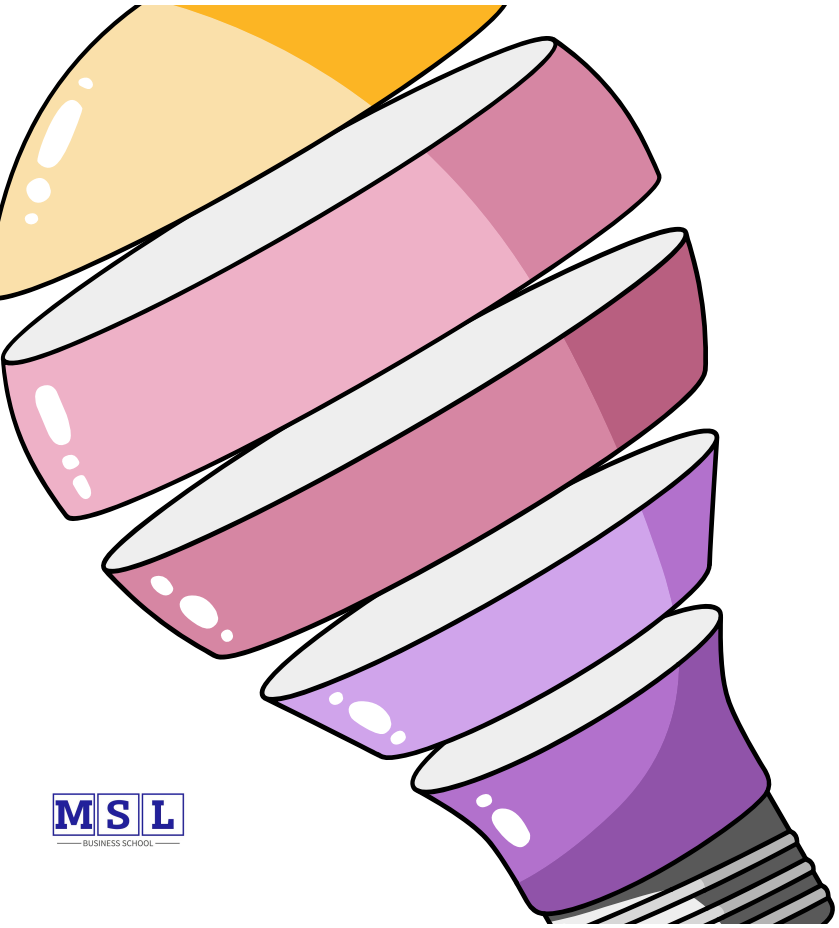

The Second Tier

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SECOND TIER - OCCUPATIONAL PENSION SCHEME

- A Second-tier **mandatory**, fully funded and **privately managed**, work-based Scheme, designed primarily to give contributors a *lump sum benefit* to replace what was previously available under the SSNIT Scheme or the Cap 30 Scheme

Determinants of lump sum benefit: The lump sum benefits are dependent on the level of contributions, the investment returns and administrative expenses incurred in the management of the Scheme

Operations: Operated under trust by Trustees approved and licensed by the NPRA

Accrued Benefits

- Preserved until retirement age, or earlier withdrawal under certified condition of physical or mental disability

- Can be transferred to another Occupational Scheme during change of employment

Reference & Further Reading

Act 766 as amended by Act 883

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SECOND TIER - OCCUPATIONAL PENSION SCHEME

- On *retirement* or *earlier death*, the benefits are paid out in lump sum of money
- *Early withdrawal* of benefits is permitted if the contributor is unemployed at a minimum age of 50 or on grounds of total and permanent disability

Reference & Further Reading

Act 766 as amended by Act 883

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SECOND TIER - OCCUPATIONAL PENSION SCHEME

- Accrued lump sum can be used as *collateral* to secure mortgage for primary residence
- Contributions to the Scheme are *exempt from tax*, as well as the income accruing from investment of the Scheme Funds
- A *non-Ghanaian citizen* who does not satisfy the qualifying conditions but desires to emigrate permanently from the country may have access to the entire accrued benefits in a lump sum
- On the *death* of a member, the whole of the member's accrued benefits shall be paid as a lump sum to the Member's *nominated beneficiaries*

Reference & Further Reading

Act 766 as amended by Act 883

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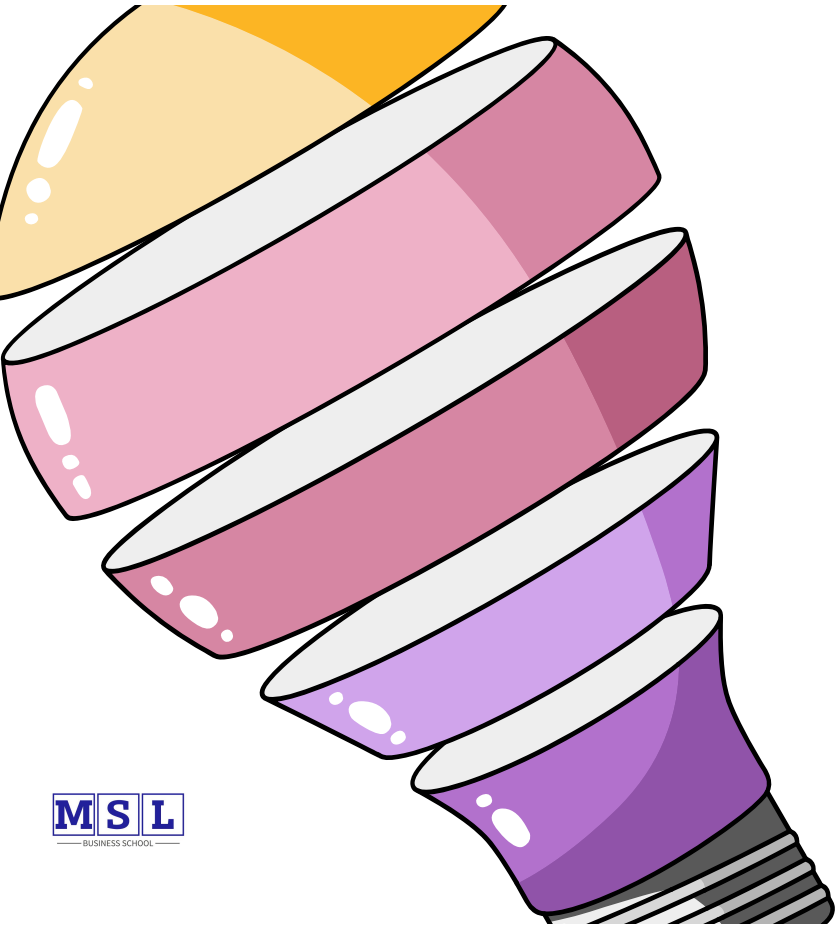

The Third Tier

MSL Business School

THIRD TIER - VOLUNTARY PROVIDENT FUND & PERSONAL PENSION SCHEME

- A third-tier **voluntary**, fully funded and **privately managed** Scheme
- It is supported by tax incentives up to a maximum of **16.5%** of contributor's salary, to provide additional funds for workers who want to make voluntary contributions to enhance their pension benefits
- The *minimum age* for membership is **15 years**, and is **allowed** for a contributor who is more than the statutory retirement age of **60** to be a Member
- A Member who has attained the retirement age is entitled to the accrued benefits in a *lump sum*

Reference & Further Reading

Act 766 as amended by Act 883

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THIRD TIER - VOLUNTARY PROVIDENT FUND & PERSONAL PENSION SCHEME

- A Member who has not attained the retirement age may withdraw all or part of the accrued benefits after **ten years** from the date of first contribution, or following a medical certification that the Member is incapable of any normal gainful employment by virtue of a permanent physical or mental disability
- The *beneficiaries* of a *deceased contributor* may withdraw the accrued benefits from the Scheme
- Investment income from the investment of Scheme Funds are exempt from tax

Reference & Further Reading

Act 766 as amended by Act 883

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VOLUNTARY GROUP/PERSONAL PENSION SCHEME – THIRD TIER

- The Scheme applies to individuals in the **informal sector** who are not covered by any pension scheme under the mandatory part of the three-tier pension scheme
- The Scheme also applies to individuals who want to make *voluntary contributions* to *enhance their pension benefits* outside the mandatory schemes or Provident Fund Schemes
- A worker may join the Scheme if the worker is more than **15 years** of age or more than the statutory retirement age
- A contributor who is **self-employed** in the *informal sector* who is not covered under the mandatory scheme shall have his/her contributions credited in agreed proportion, to **two** separate individual sub-accounts, namely; a **personal savings account**, and a **retirement account**.

Reference & Further Reading

Act 766 as amended by Act 883

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VOLUNTARY GROUP/PERSONAL PENSION SCHEME – THIRD TIER

- A contributor may withdraw part of the accrued benefits in the *personal savings account*, but the proceeds of the *retirement account* shall only be paid on retirement as monthly or quarterly pensions
- A Member in the *formal sector* who has attained the retirement age is entitled to the entire accrued benefits in lump sum
- A Member who has **not** attained the retirement age may withdraw all or part of the accrued benefits after **10 years** from the date of first contribution, for contributors in the *formal sector*; but for contributors in the *informal sector*, **5 years** from the date of first contribution is what applies
- A Member may also withdraw all or part of the accrued benefits as a result of permanent physical or mental disability
- Beneficiaries of a deceased contributor may withdraw the accrued benefits of the deceased

Reference & Further Reading

Act 766 as amended by Act 883

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VOLUNTARY GROUP/PERSONAL PENSION SCHEME – THIRD TIER

- Persons in the *informal sector* who are not covered by the mandatory schemes shall have **35%** of their declared income, **exempt from tax** for contribution purposes; whiles investment income from investment of Scheme Funds shall be tax-exempt
- A **withdrawal** of all or part of a contributor's accrued benefits *on or after retirement* shall be **tax-exempt**
- But shall be subject to the appropriate income tax (**15% final tax**) for contributors in the formal sector before *10 years* of contribution and *before retirement*, **and** *5 years* will apply for contributors in the *informal sector* and *before retirement*
- The tax exemption status for benefits applies for cases of incapacity or death.

Reference & Further Reading

Act 766 as amended by Act 883

Regulation 25 of L.I. 2244

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COVID-19 UPDATE

Section 94(4) of Act 896 – as amended by Act 1094

A withdrawal from a provident fund or personal pension scheme before the statutory retirement age by

- an employee due to loss of permanent employment, or
- a self-employed person from the personal savings account provided for under paragraph (a) of subsection (2) of section 109 of the National Pensions Act, 2008 (Act 766)

due to the Novel Coronavirus (COVID-19) pandemic or the current economic hardship is *exempt from income tax for 2023*.

Reference & Further Reading

Act 766 as amended by Act 883

Section 94(4) of Act 896

Regulation 25 of L.I. 2244

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FUNCTIONS OF THE NPRA

NPRA = National Pensions Regulatory Authority

- Responsible for ensuring compliance with the National Pensions Act
- Register Occupational and Personal Pension Schemes and Provident Fund Schemes
- Approve, regulate and monitor Trustees and service providers that deal with pensions
- Establish standards, rules and guidelines for management of pension funds
- Sensitize the public on matters related to the various pension schemes
- Receive and investigate complaints of impropriety in management of pension schemes

Reference & Further Reading

Act 766 as amended by Act 883

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FUNCTIONS OF THE NPRA

- Receive and investigate grievances from pensioners and provide redress
- Advise government on the general welfare of pensioners, and on the overall policy on pensions in Ghana.
- Regulate and monitor the implementation of the Basic National Social Security Scheme
- Promote and encourage the development of the pension scheme industry in Ghana

Reference & Further Reading

Act 766 as amended by Act 883

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